directors and managing directors have not taken any undue advantage of their position.

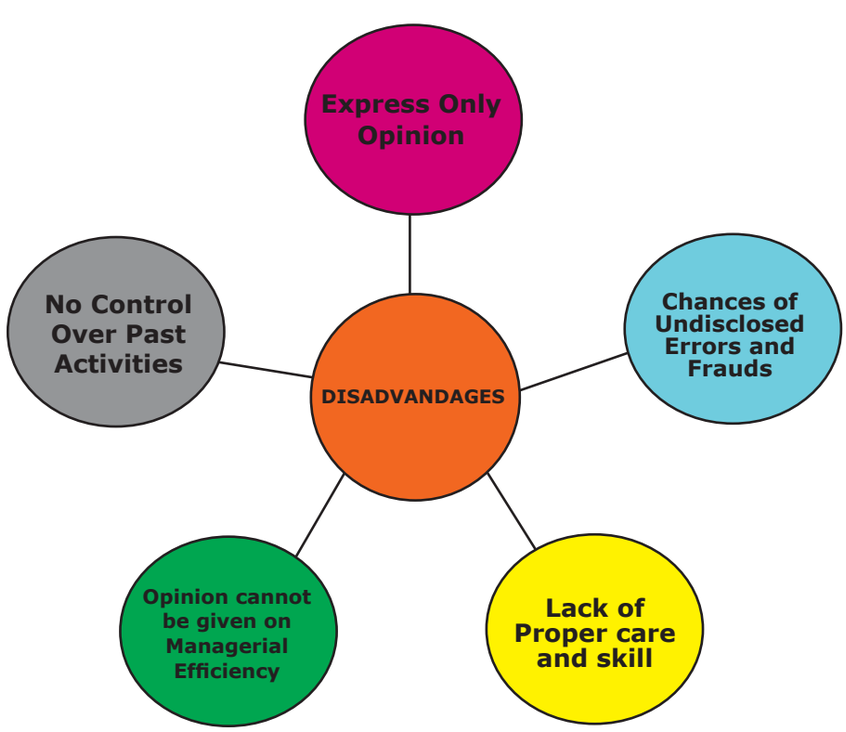
4. **Benefit to Trust, Co-operative Societies:** Audit of accounts of co-operative societies and Trusts provide evidence that the interest of the beneficiaries and members are properly protected.

III. Benefits to the Third Parties

1. **Bank and Financial Institutions:** Banks and other financial institutions grant loan to the business concern on the basis of audited financial statements.
2. **Creditors:** Creditors who supply goods to the business may assess the solvency and liquidity position of the business on the basis of audited accounts.
3. **Insurance Companies:** For settlement of insurance claims, insurance companies can rely on audited accounts.
4. **Statutory Authorities:** Statutory authorities like income tax, sales tax, wealth tax etc. accept audited statements for determining the liability which arises due to income, sales and wealth.
5. **Prospective Investors:** Prospective investors who wish to invest money in shares and debentures of a company rely on audited accounts.

1.11 Limitations of Auditing

The limitations or disadvantages of auditing are as follows:



1. **Gives Opinion:** After the completion of audit, an auditor gives only the opinion regarding true and fair view of the books of accounts and financial position of the business. Therefore, an auditor is not an insurer; he does not give guarantee regarding financial reflections of the business.

XI_Auditing_Chapter_1.indd 16 20-02-2019 10:15:36